in the early 1990s and in the early 2000s. They miss the bull market in real estate during the mid-2000s.

3.5. SUMMARY

Treat reported illiquid asset returns very carefully. Survivors having above-average returns and infrequent observations, and the tendency of illiquid asset returns to be reported only when underlying valuations are high, will produce return estimates that are overly optimistic and risk estimates that are biased downward. Put simply, reported returns of illiquid assets are too good to be true.

4. Illiquidity Risk Premiums

Illiquidity risk premiums compensate investors for the inability to access capital immediately. They also compensate investors for the withdrawal of liquidity during illiquidity crises.

Harvesting Illiquidity Risk Premiums

There are four ways an asset owner can capture illiquidity premiums:

1. By setting a *passive allocation* to *illiquid asset classes*, like real estate;
2. By choosing securities within an asset class that are more illiquid, that is by engaging in *liquidity security selection*;
3. By acting as a *market maker* at the individual security level; and
4. By engaging in *dynamic strategies* at the aggregate portfolio level.

Economic theory states that there should be a premium for bearing illiquidity risk, although it can be small.[20] In models where illiquidity risk has small or no effect on prices, illiquidity washes out across individuals. A particular individual may be affected by illiquidity—illiquidity can crimp his consumption or affect his asset holdings (as in the asset allocation model with illiquidity risk that I present below)—but other agents will not be constrained, or they trade at different times. Different agents share risk among themselves, which mutes the impact of illiquidity. Thus in equilibrium the effects of illiquidity can be negligible.[21]

Whether the illiquidity risk premium is large or small is an empirical question.

[20] This large literature begins with a seminal contribution by Demsetz (1968). See summary articles by Hasbrouck (2007) and Vayanos and Wang (2012).

[21] For models of this kind, see Constantinides (1986), Vayanos (1998), Gârleanu (2009), and Buss, Uppal, and Vilkov (2012). In contrast, Lo, Mamaysky, and Wang (2004) and Longstaff (2009), among others, argue that the illiquidity premium should be large.